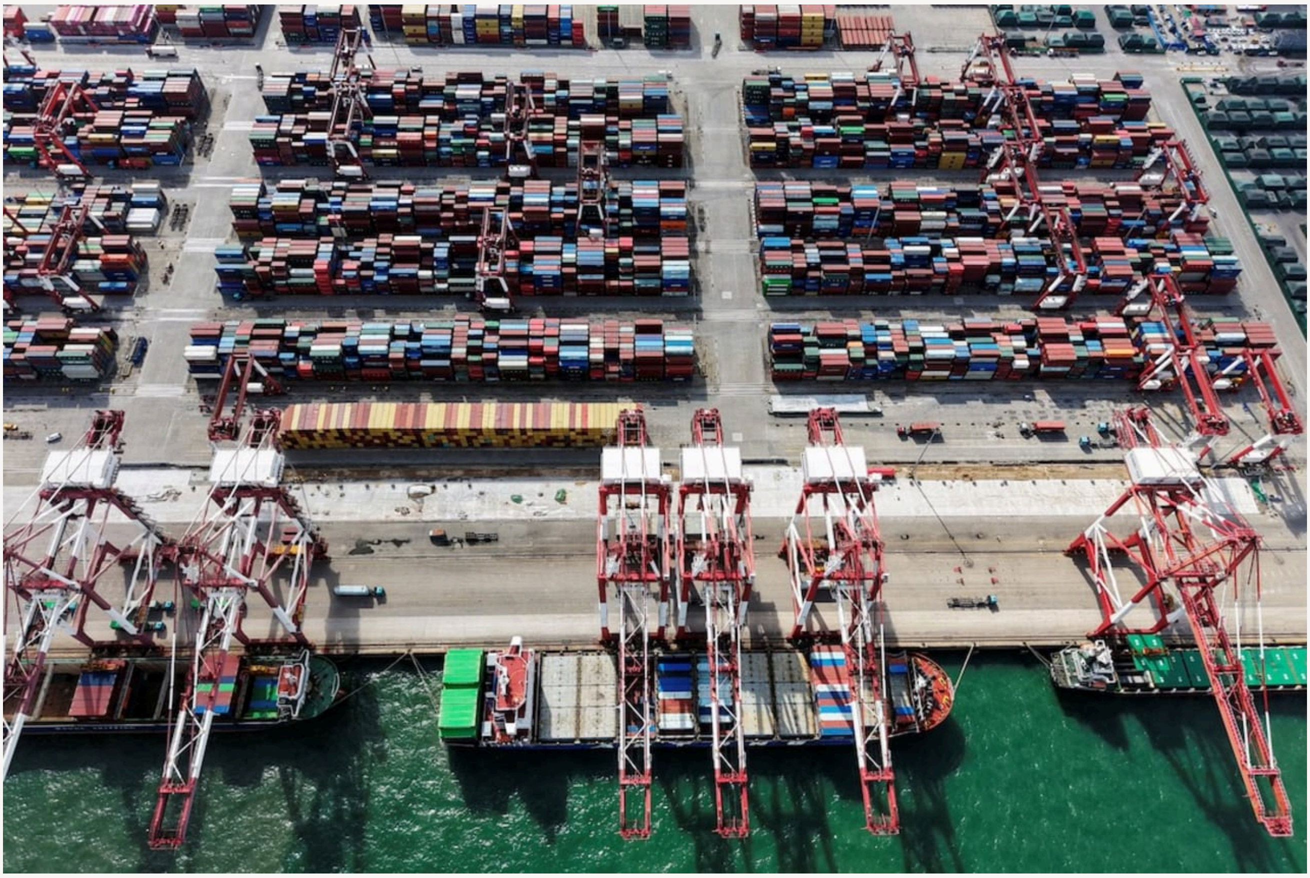
EXPERT TAKE FOLLOW THE MONEY

China, Not Europe, is the Source of the World's Imbalances

How Ireland and China's statistical agency pulled the wool over the eyes of the IMF and OECD.



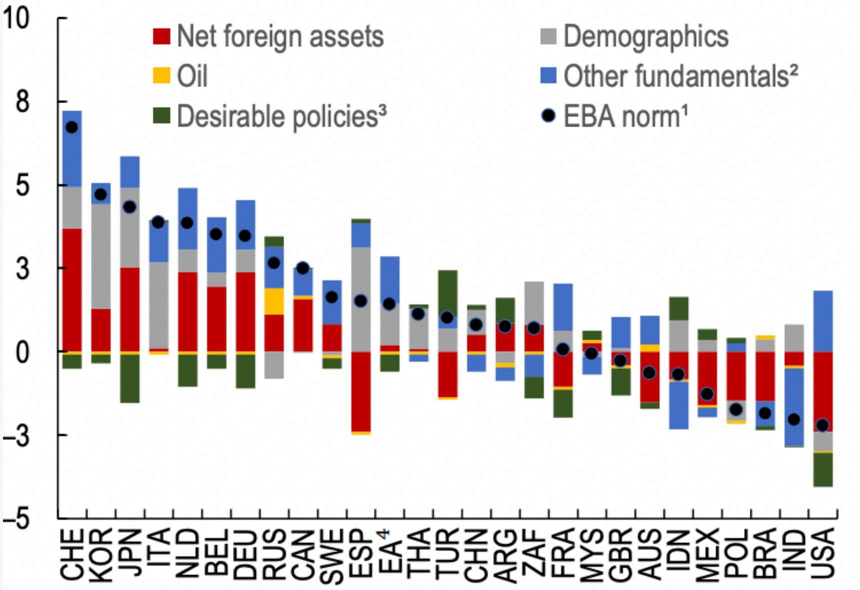
A drone view shows ships and containers at the port in Qingdao, Shandong province, China October 20, 2025. China Daily/Reuters

PUBLISHED
June 22, 2026 2:42 p.m.

Brad W. Setser CFR EXPERT
Whitney Shepardson Senior Fellow

There is a particular chart that appears in most OECD and IMF publications on imbalances that paints a deceptive picture of the state of today's world. It shows that Europe's current account surplus was bigger, as a share of its GDP, than China's surplus—back in 2024.

Figure 1.18. External Balance Assessment Current Account Norms, 2024
(Percent of GDP)



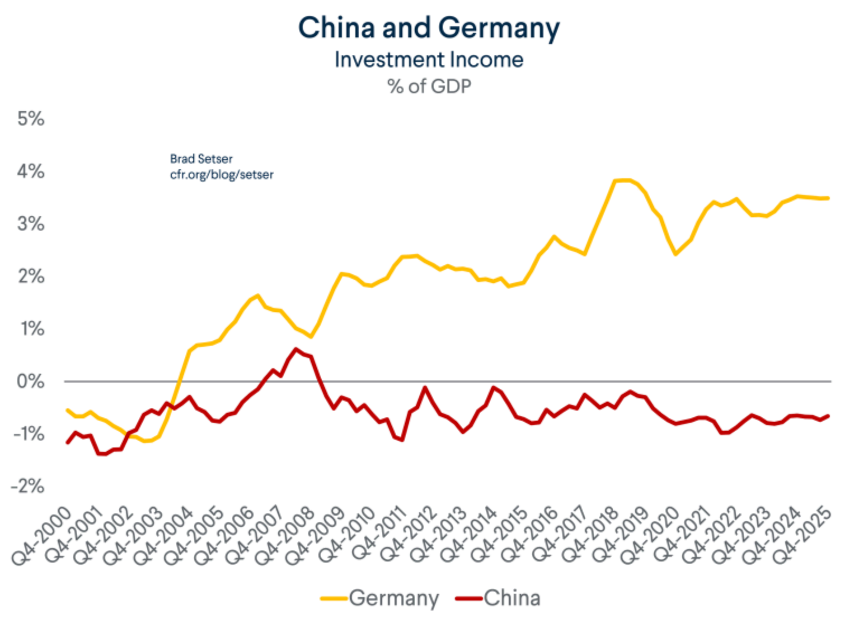
Source: IMF, External Balance Assessment estimates.

There are three major problems with this chart:

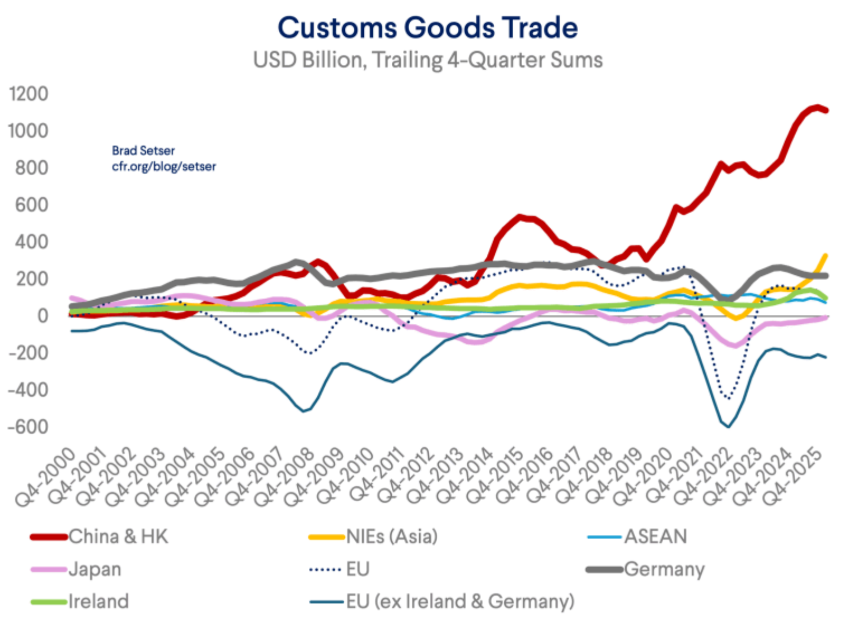
1. It uses very stale data. China's reported current

since the end of 2024. Net exports added over a point and a half to China's growth since then, and the euro area's surplus is down from €420 billion to €280 billion. And in one prominent sector, autos, China's surplus is way up. Its exports have increased by 3 million since then while its auto imports are down by a quarter of a million.

2. It doesn't adjust the euro area's surplus for Ireland—which matters. See the problems that the end of pharmaceutical front running created for the overall euro area GDP data in the first quarter. And it especially matters if there is an attempt to solve for China's clearly misreported investment income data by just using balance of payments goods and services data, as Ireland runs an absolutely massive but enormously inflated goods and services surplus thanks to profit shifting by mostly American multinationals.
3. It takes the Chinese current account surplus and its bizarre reported deficit in investment income (China is the world's second largest investor, after Germany, yet it loses $125 billion on net on interest and dividends while Germany gets over $150 billion) at face value.



The overarching issue, of course, is that China changed its balance of payments data in a way that both eliminated errors and omissions from the financial account and reduced its reported balance of payments goods surplus back in 2022 (it now enters the data for 2021 as well). Moreover, the statistical adjustment—a fundamental shift in how the goods balance is calculated in the balance of payments—clearly reduced the reported current account surplus significantly at a time when the underlying customs surplus was exploding up.



The need for international organizations assessing the world's trade and savings and investment imbalances to use more than the reported current account balance in their assessment of China should now be obvious. No one believes the reported investment income deficit at this point. And frankly it by now should be best practice for the major international organizations to use trailing four-quarter sums (which are still lagged by quarter) rather than annual data.

The need to adjust the euro area and EU data for Ireland should be equally obvious.

In theory, being the tax home for Apple (raises BOP goods exports but not customs exports), Microsoft (raises services exports), Eli Lilly (raises customs and BOP goods exports), Google (raises service exports and imports, as Google's global IP is a U.S. tax resident and Google's Irish subsidiary has to pay to use "California's" IP) and others shou[illegible]pact the balance of payments. The tax gymnastics of U.S. firms should result in a higher goods and services surplus, but there should be an offsetting outflow of profits (FDI income payments) from the Irish subsidiaries of U.S. firms back to their U.S. parents and thus a large deficit in investment income that keeps the current account unchanged.

In practice, however, the end of the double Irish and the "Irish-shoring" of the world's intellectual property has led to a big swing in Ireland's current account surplus, with the current account moving from a large deficit in the days when the Irish subsidiaries of U.S. firms "invested" to bring the Caribbean (or Channel Island) IP of U.S. firms onto Ireland's green shores to a big surplus now.

Ireland reported a current account deficit of 75 billion euro in 2019, and now reports a surplus of 50 billion euro; that is a massive shift which has no real bearing on any of the variables that the IMF or OECD are trying to measure in their reports on imbalances (of course, it does say a lot about the evolution of the tax strategies of U.S. multinationals).

And it matters for the IMF's assessment of the world's "excess" imbalances: netting Ireland out brings the euro area's 2025 current account surplus down to around €230 billion (~$250 billion), or well under 2 percent of euro area GDP.

Ireland has an even more outsized impact on the euro area's goods and services balance, as Ireland's euro 250 billion BOP goods surplus is a shocking 40 percent of Irish GDP (thanks to BPM 6 accounting for Apple and big pharma).

And netting Ireland out changes Europe's income balance from a deficit (reflecting the huge profits of U.S. multinationals in Ireland, now ~€300 billion) to a more reasonable surplus.

All this matters, of course, when it comes to trying to find a politically feasible way of presenting China's actual surplus into cross-country/cross-region comparisons.

As mentioned earlier, China poses two distinct issues.

First, China reports a large ($125 billion) income deficit despite being the world's second largest creditor (bigger than Japan) with a positive $4 trillion net credit position in the "stock" tables showing countries net international investment positions.

No one has been able to explain that deficit adequately.

The IMF could not (see the 2025 External Sector Report, Box 1.1). Shang-Jin Wei and Chang Ma could not.

I also cannot. My various models of what China's income balance sheet should be—based realistic assumptions around investment returns—point to a surplus of around $100 billion. One easy way to see why: SAFE's reserves are pretty close to the positive NIIP position and SAFE reported a 3 percent return on its reserves in the 2010s, the low-for-long decade. That profit should be higher now.

Set aside the debate over the merits of the new methodology that China trotted out for calculating its goods surplus in the balance of payments back in 2022 (see the IMF 2024 staff report for details) — which now enters into the 2021 statistics. There is no doubt that the adjustment:

1. Lowered the reported goods surplus in the balance of payments relative to customs.
2. Changes over time in ways that are difficult to explain. The gap between BOP goods using the pre-2021 methodology and the new data was around $300 billion annualized ch of 2023

and 2024; it has now shrunk to around $150 billion for reasons that SAFE hasn't credibly explained.

3. Has had the effect of lowering reported current account surplus, not just shifting Apple's "onshore" profit into the goods account and out of either services or income.

This is obvious in any careful examination of the data, particularly the quarterly data.

One way of addressing these data problems is just using the customs trade balance—a retro indicator, but one that can be easily verified.

That goes too far for some people (services!) but the easy solution—using BOP goods and services—solves the problem of China's fudged investment income account but augments the Irish distortion to Europe.

The best solution would be to calculate China's surplus using the pre-2021 methodology (at least until China can provide a plausible explanation for what is happening elsewhere in the BOP when Apple's in China surplus enters the BOP goods numbers, and can explain the bizarre downward adjustment in BOP exports—the Apple in China adjustment raises BOP exports…) and to net out Ireland from the euro area data.

Bottom line: when netting Ireland out, China's goods and services balance is two times hig[illegible]n the euro area's surplus—and it has risen a lot over the last five years.

And these adjustments also change the comparison between China's surplus and Germany's surplus, as Germany's goods and services surplus is now lower than China's goods and services surplus, consistently reported.

All this is too important to global surveillance not to be factored into the IMF and the OECD's work in some way.

It simply isn't credible to keep showing charts that show Europe is as "bad" as China—not when European trade has lagged China's trade so badly for the last few years.**

Yes, the current account is the standard metric, but it is important to understand what goes into that metric, and what may be missing. The gap between the reported current account and high frequency measures like customs goods should have been a warning that something was off.

* Of course, I personally think China's approach generates a nonsensical adjustment; all the more so as the downward adjustment in the customs surplus in the BOP data seems to vary over time so as to keep reported errors (the statistical error) close to zero. The Chinese, with support (sadly) from the IMF's statistics division, say that their survey-based methodology is actually the IMF's recommended methodology. That's true, but it shouldn't stop the IMF from evaluating the quality of the adjustment.

** This chart from the July 2025 External Sector Report, which shows contribution to excess imbalances, illustrates the same misleading framing.

From Follow the Money and Greenberg Center for Geoeconomics

CHINA ECONOMICS

The U.S. Is Losing the AI Credibility War—to Itself

By Matthew Ferren

June 22, 2026

Why Anthropic Is Sounding the Alarm on the Next Generation of AI

By Gordon M. Goldstein

June 18, 2026

Currency Moves Can Drive Rebalancing

By Brad W. Setser

June 18, 2026

EXPERT TAKE FOLLOW THE MONEY

Currency Moves Can Drive Rebalancing

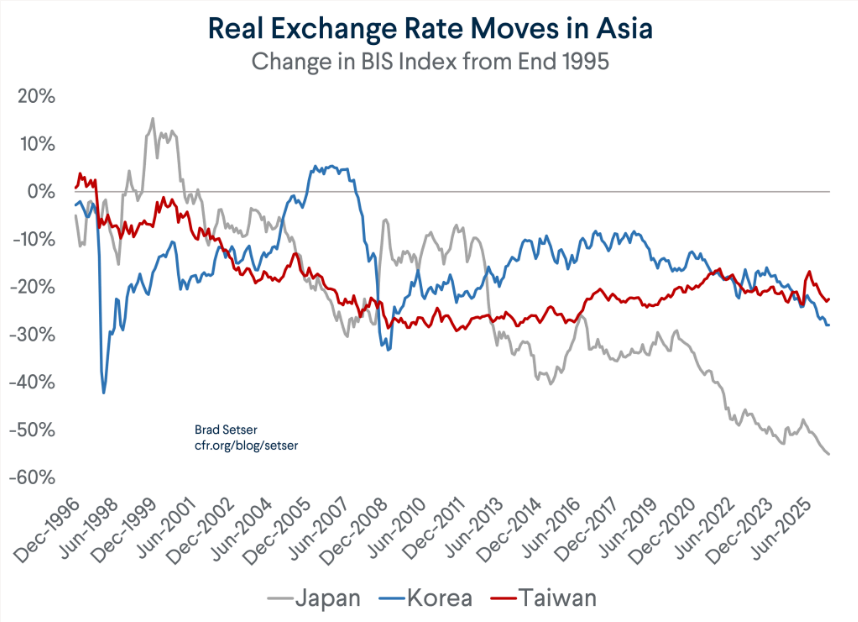
The currencies of Asia's major economies are all substantially undervalued

PUBLISHED
June 18, 2026 1:38 p.m.

Brad W. Setser CFR EXPERT
Whitney Shepardson Senior Fellow

Shahin Vallée and I have a piece in Foreign Affairs that calls for bringing currency diplomacy back and making the appreciation of China's currency the central ask of the G7 and its partners.

Given the broad weakness of the currencies of all the big Asian surplus economies (Japan's surplus is from investment income; Korea and Taiwan run exceptionally large trade surpluses) we call for coordinated action to raise the value of all the key Asian currencies. China can strengthen the renminbi by just setting the daily fix at a strong ... stronger level. We would also welcome coordinated G7 support for the won and yen so all the major Asian currencies strengthen.*



Realistically, this isn't going to happen soon. Prior to the Evian leaders summit the G7 finance ministers and central bank governors of the G7 agreed on a plan that doesn't even mention the level of the yuan. President Trump remains focused on tariffs and the bilateral U.S.-China trade balance when he is not distracted by Iran or other matters.

But it needs to happen eventually. It is hard to see how global trade imbalances (linked of course to different patterns of savings and demand across countries) can be reduced without a realignment of global exchange rates.

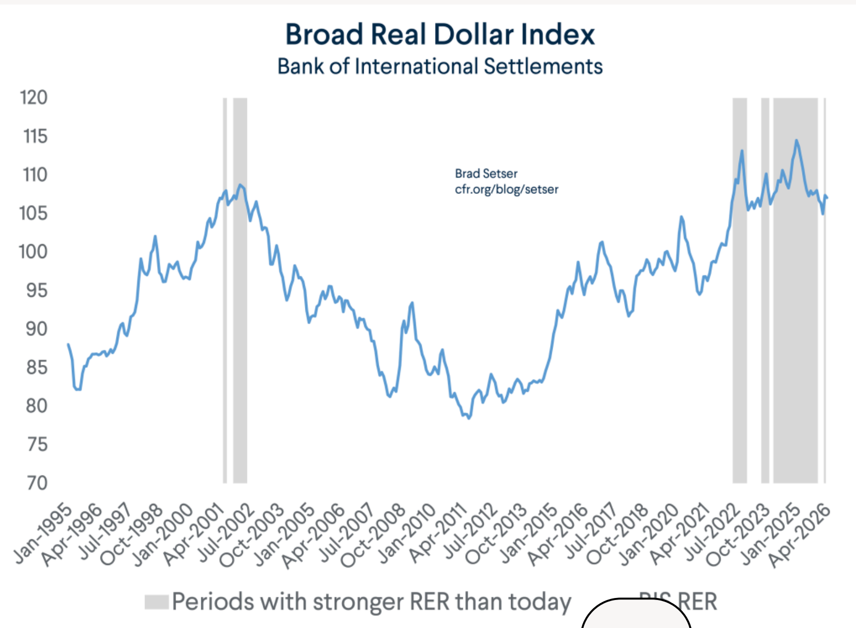
Indeed, our view is that there needs to be renewed appreciation (ha!) of the role that currency can play in bringing down trade imbalances.

That will require a shift in how many in the IMF—and many prominent economists, including the G7 Economist group that the French convened—are thinking about the issue. The current consensus tends to play down the immediate importance of changing the value of key surplus and deficit economies, and to argue that that shifts in underlying policies need to precede and in a sense drive subsequent currency changes. We would reverse that—a currency move will change the flow of trade on its own, and it will then need to be supported with domestic policy changes (including more support for domestic consumption in China and a bit of fiscal restraint in the United States) that make it easier to sustain the change in currency values. We aren't alone here. Malcolm Scott of Bloomberg put it well: "If exports stall, policy makers will step in to do more to prop up domestic demand, but while ever the external sector remains robust there's less need for significant stimulus."

In our view, the proposals that emerged out of recent work by the IMF and a group of prominent international economists convened by France doesn't provide the needed basis for a global conversation on how best to reduce the risks posed by imbalances—largely because this effort to force a new consensus doesn't go far enough in three important respects:

First, it misreads the financial history of the pre-global crisis period by neglecting the role of reserve prior to the global financial crisis. Unprecedented reserve growth drove large inflows of official capital into the bond market. There is no surprise that this inflow came as the dollar depreciated – an unwillingness by surplus countries to allow their currencies to appreciate even as U.S. rates were below global rates led to a surge in intervention, and proceeds of that intervention needed to be invested primarily in U.S. safe assets. This core uphill flow was clearly an official flow from Asian central banks; it was pushed out of surplus countries by reserve accumulation not pulled into the U.S. by the high returns on U.S. housing investment. Banks then created synthetic safe assets in part to meet demand from private investors pushed out of the Treasury and Agency market by official actors.

Second, it downplays the role that exchange rates have played in causing or reducing imbalances.



This stems in part from a misreading of the 1980s Plaza Accord that makes exchange rate coordination a sideshow and attributes the entire fall in the U.S. trade deficit to the fiscal consolidation that occurred over the course of Reagan's second term rather than to the dollar's large fall.**

It also draws on an interpretation of the financial history of the last 25 years that ignores the role a weak yuan from 2002 to 2006 played in the rise in China's external surplus prior the Lehman shock and the role a stronger yuan played in bringing down China's surplus down during the years after the global financial crisis. This shunted view of history results in a new excuse for ignoring currency intervention, namely that changes in the nominal exchange rates don't drive changes in the real exchange. There though is ample empirical evidence to the contrary. Domestic prices are sticky and adjust slowly; as a result, nominal exchange rate moves are only offset by changes in the level of domestic prices slowly and partially.

Third, the IMF paper posits a strong dichotomy between "micro" and "macro" industrial policies. This distinction that the IMF draws between "macro" industrial policies (including intervention to weaken a currency) and "micro" industrial policies (sectoral support, whether from directed purchases, directed lending or outright subsidies) is theoretically helpful. But the correlation between macro industrial policies sorting out the relative contributions of micro-industrial policies and currency policy difficult. In practice, there is much more continuity between micro and macro industrial policies than in the IMF's models—and the countries generally judged to have the most successful "micro" industrial policies also often have active "macro"-industrial policies to support exports through undervalued exchange rates. The interaction between the two often seems to generate large and persistent surpluses—the exports from industrial policy success stories making creating a political economy that makes policies suppress domestic consumption more sustainable over time. Sorting out the different impact of macro-industrial policies and micro-industrial policies is all the more difficult because the IMF's standard framework for external assessment still doesn't capture many policies —outflows through a sovereign wealth or pension fund, the buildup of foreign exchange in a state banking system—that would appear to meet the IMF's definition of a "macro" industrial policy, and that in many cases have a clear impact on the foreign exchange market.***

In our view, this work—unfortunately—cannot produce an actionable agenda. It suggests nothing can be done until Chinese domestic policies change or U.S. fiscal policy changes. That is a recipe for inaction, and one that will result in ever more pressure on Europe's already challenged industrial base. The status quo isn't static; it is associated with China that gets its growth heavily from net exports and thus its is associated with an ever-rising Chinese surplus.

Waiting for China to change its pattern of growth through reforms that support household consumption thus isn't really a tenable option for those countries that are seeing their own exports squeezed by China's growing surplus. Waiting for the U.S. to bring its fiscal deficit down means accepting the growing weight Treasury supply places on global financial markets will continue. The demand for the world's goods created by U.S. fiscal deficits helps make up for the demand deficit generated by China's surplus, but at the cost of a slow build-up of macro-financial risks.

At a time when the global surplus is concentrated in East Asian surplus economies that all have weak currencies—and with China now putting the weight of its state financial sector on the market to limit the pace of yuan appreciation, a coordin[illegible]preciation of Asian currencies is the simplest and easiest way to bring down trade imbalances. China surely cannot be coerced by any actor, neither the U.S. nor the G7 to change its exchange rate policy but it could possibly be persuaded that its own interests would be served by a coordinated revaluation of other currencies in Asia. This is all the more the case if China comes to understand that the alternative to a stronger renminbi is ever growing restrictions on its trade.

Currency diplomacy alone is not sufficient to durably reduce trade imbalances. But it can start the process. If China gets less growth from exports, it will face more pressure to undertake the reforms needed to strengthen domestic sources of growth. The same process would play out in other surplus economies—including Taiwan. And smaller surpluses—or at least a slower pace of growth in the world's surpluses—would place a bit more pressure on the U.S. to reign in its fiscal deficit.

A bit more coordination to strengthen Asia's obviously undervalued currencies is thus the right place to start the broader process of a coordinated rebalancing.****

* Korea is already supporting the won by adjusting the allowed hedge ratio of its massive National Pension Service (~ $600 billion in foreign assets, mostly unhedged); Japan could do more to support the yen as well notably through a faster pace of

normalization. The Bank of Korea's governor Hyun Shin has already indicated that the Bank of Korea will hike rates further given the demand pressures linked to the memory chip windfall.

Note that this a joint blog from both Brad Setser and Shahin Vallee

** Trade adjusts to changes in exchange rates with a lag (usually thought to be 8 quarters but some work suggests that it might now be more like 12 quarters. The Plaza agreement didn't bring the U.S. deficit down immediately, but by 1987 the real U.S. trade deficit was clearly shrinking. The overall trade deficit fell from around 3 percent of U.S. GDP to around 1 percent of U.S. GDP) between 1987 and 1990. This fall occurred even with strong demand growth in the US in 1988 and 1989, so it wasn't just a function of underlying shifts in the global pattern of demand growth. Net exports contributed positively to U.S. growth once the dollar had clearly moved off its 1985 highs across the cycle. Japan's surplus also fell from 4 percent of GDP to 2 percent of GDP—with a large reduction in its bilateral surplus with the U.S.

*** Ask the Bank of Korea. Former governor Rhee has highlighted how the NPS outflow worked at cross purposes with his efforts to support the Korean won.

**** The IMF's argument for coordination—namely that it would be easier to bring down surpluses and deficits without a loss of growth if all of the world's big economies acted simultaneously—is correct. China needs to do more to support its domestic growth so that slower growth in exports doesn't reduce output and increase deflationary pressures. The U.S. needs to reduce its fiscal deficit so that it is less of a magnet for imports and capital, and to create space for higher exports without overheating. And with less demand from the U.S., Europe needs to do more to raise investment and to support its own growth.

GUEST AUTHOR

Shahin Vallée

From Follow the Money and Greenberg Center for Geoeconomics

CHINA ECONOMICS

Why Anthropic Is Sounding the Alarm on the Next Generation of AI

By Gordon M. Goldstein

June 18, 2026

Trump's Defense Demands Are Pushing Asian Allies Toward China

By Joshua Kurlantzick

June 17, 2026

Herbert Hoover Signs the Smoot-Hawley Tariff Act

By James M. Lindsay

June 17, 2026